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No. 166281

STATE OF MICHIGAN
IN THE SUPREME COURT

JACQUELINE DAVIS,
Plaintiff-Appellant,

-vs.-

BETMGM, LLC,
Defendant-Appellee.

COURT OF APPEALS NO. 363116

WAYNE COUNTY CIRCUIT COURT
Case No. 21-006981-CK

DEFENDANT-APPELLEE BETMGM, LLC'S BRIEF ON APPEAL

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ORAL ARGUMENT REQUESTED

RECEIVED by MSC 2/13/2025 4:32:13 PM

TABLE OF CONTENTS

Pages

TABLE OF CONTENTS i

INDEX OF AUTHORITIES iii

COUNTER-STATEMENT OF QUESTIONS PRESENTED vii

STATEMENT OF JURISDICTION viii

INTRODUCTION AND SUMMARY OF ARGUMENT 1

ISSUES ON APPEAL 1

COUNTER-STATEMENT OF FACTS 3

A. The Genesis of the Dispute. 3

B. The Complaint 5

C. The Administrative Proceedings Before the MGCB. 6

D. BetMGM's Motion for Summary Disposition. 6

E. Proceedings Before the Michigan Court of Appeals. 7

F. The Appeal to this Court. 8

ARGUMENT 8

A. Ms. Davis Has No Viable Common Law Claims Against BetMGM Related to Her Dispute Over Her Entitlement to Amounts Erroneously Credited to Her Account, and the Assertion of Those Claims Is Inconsistent with LIGA, as LIGA Provides Ms. Davis's Exclusive Remedy. 8

1. Standard of Review. 8

2. Ms. Davis Has No Legally Cognizable Claims at Common Law, as Gaming is Illegal Under Michigan Law Outside of the Statutory Schemes Permitting Such Activities, and Suits at Common Law to Collect Such Gambling Winnings Are Unenforceable in the Courts as a Matter of Public Policy. 10

3. LIGA's Provisions Set Forth the Only Existing Legal Scheme Establishing Duties, Rights and Responsibilities for Lawful Online

RECEIVED by MSC 2/13/2025 4:32:13 PM

Gaming, Including Regulation and Enforcement of Account Balances. 12

a. LIGA expressly provides that internet gaming may not lawfully be conducted under any other rule of law and preempts inconsistent laws. 12

b. Under LIGA's express provisions, all aspects of online gaming under LIGA are controlled by the MGCB, including the resolution of disputes. 13

i. The MGCB controls the relationship between online gaming participants and internet gaming operators and platform providers. 16

ii. The MGCB is authorized and required to adjudicate authorized participant disputes and it has adopted a series of rules which guide its decision making. 17

4. LIGA Provides Ms. Davis's Exclusive Remedy 19

a. LIGA creates new rights having no counterpart in the common law, and the remedies provided thereunder are therefore exclusive. 19

b. The scope and wording in LIGA demonstrate that the Legislature intended that LIGA provide the exclusive remedy for online gaming disputes. 22

CONCLUSION AND RELIEF REQUESTED 24

STATEMENT OF WORD COUNT PURSUANT TO MCR 7.212(B)(3) 25

RECEIVED by MSC 2/13/2025 4:32:13 PM

INDEX OF AUTHORITIES

Cases

Bauserman v Unemployment Ins Agency,
503 Mich 169; 931 NW2d 539 (2019)..... 13

City of Taylor v Detroit Edison Co,
475 Mich 109; 715 NW2d 28 (2006)..... 9

Covell v Spengler,
141 Mich App 76; 366 NW2d 76 (1985)..... 22

Daher v Prime Healthcare Services-Garden City, LLC,
___ Mich ___; ___NW3d ___ (2024)..... 9

Davis v BetMGM, LLC,
___ Mich App ___; ___ NW3d ___ (2023)..... 7, 8, 13

Fultz v Union-Commerce Assoc,
470 Mich 460; 683 NW2d 587 (2004)..... 24

Gibson v Martin,
308 Mich 178; 13 NW2d 252 (1944)..... 12

Hart v Ludwig,
347 Mich 559; 79 NW2d 895 (1956)..... 24

Helber v Schantz,
109 Mich 669; 67 NW 913 (1896)..... 11

Hoerstman Gen Contracting, Inc v Hahn,
474 Mich 66; 711 NW2d 340 (2006)..... 22, 23

In re Complaint of Rovas Against SBC Michigan,
482 Mich 90; 754 NW2d 259 (2008)..... 9, 21

Int'l Recovery Sys, Inc v Gabler,
208 Mich App 49; 527 NW2d 20 (1994)..... 12

Int'l Recovery Sys, Inc v Gabler,
210 Mich App 422 (1995)..... 12

Kraft v Detroit Entertainment, LLC,
261 Mich App 534; 683 NW2d 200 (2004)..... 8

Lamphere Sch v Lamphere Federation of Teachers,
400 Mich 104; 252 NW2d 818 (1977)..... 19, 20, 23

Lassen v Karrer,
117 Mich 512; 76 NW 73 (1898) 11

Llewellyn-Jones v Metro Prop Group, LLC,
22 F Supp 3d 760 (ED Mich, 2014) 24

Maiden v Rozwood,
461 Mich 109; 597 NW2d 817 (1999) 9

Millross v Plum Hollow Golf Club,
429 Mich 178; 413 NW2d 17 (1987) 21, 22

Parise v Detroit Entertainment, LLC,
295 Mich App 25; 811 NW2d 98 (2011) 12

People v Adair,
452 Mich 473; 550 NW2d 505 (1996) 13

People v Hesch,
278 Mich App 188; 749 NW2d 267 (2008) 13

Pompey v Gen Motors Corp,
385 Mich 537; 189 NW2d 243 (1971) 7

Raymond v Leavitt,
46 Mich 447; 9 NW 525 (1881) 12

Robinson v Lansing,
486 Mich 1; 782 NW2d 171 (2010) 13

Slis v State,
332 Mich App 312; 956 NW2d 569 (2020) 13

Stegall v Resource Technology Corp,
___ Mich ___; ___NW3d ___ (2024) 9

Travelers Ins Co v Detroit Edison Co,
465 Mich 185, 205; 631 NW2d 733 (2001) 8, 10

Tryc v Mich Veterans' Facility,
451 Mich 129; 545 NW2d 642 (1996) 9

Vayko v Tanoury,
unpublished per curiam opinion of the Court of Appeals, issued February 15, 2024
(Docket No. 366503) 12

RECEIVED by MSC 2/13/2025 4:32:13 PM

RECEIVED by MSC 2/13/2025 4:32:13 PM

Statutes

MCL § 432.203(3) 11, 12

MCL § 432.302 ..... 13, 24

MCL § 432.302(d) 13

MCL § 432.304(1) 12, 23

MCL § 432.304(3) 11, 12

MCL § 432.305(1) 14

MCL § 432.309(1) 14

MCL § 432.309(1)(c) 14

MCL § 432.310 ..... 14, 15

MCL § 750.301 11

MCL § 750.314 11

R 432.613 ..... 7, 14, 15, 16

R 432.625b 16

R 432.632a 15

R 432.633 16

R 432.633a 16

R 432.634 16

R 432.637a 16

R 432.641 19

R 432.641(1) 17, 18

R 432.641(7) 9, 14, 19

R 432.652 ..... 16, 17

R 432.652(1)(c)(v) 17

R 432.652(1)(l) 17

R 432.652(1)(m) 17

R 432.655d 17

Other Authorities

Association of Certified Gaming Compliance Specialists (ACGCS), *Cultivating Compliance: The Synergistic Partnership of Law Enforcement, Casino Operators, and Gaming Commissions* (May 11, 2024) 10

Dictionary.com, *Any* 13

RECEIVED by MSC 2/13/2025 4:32:13 PM

RECEIVED by MSC 2/13/2025 4:32:13 PM

COUNTER-STATEMENT OF QUESTIONS PRESENTED

I. Whether plaintiff-appellant's common-law claims of fraud, conversion and breach of contract are precluded by the Lawful Internet Gaming Act (LIGA), which establishes the Michigan Gaming Control Board (MGCB) as the exclusive arbiter of patron disputes regarding alleged internet gaming winnings?

Plaintiff-Appellant says: "No."

Defendant-Appellee says: "Yes."

The Court of Appeals said: "Yes."

II. Whether the MGCB has exclusive jurisdiction to adjudicate disputes arising between an online gaming participant and an online gaming platform provider, where LIGA created a new legal right and prescribes a particular remedy?

Plaintiff-Appellant answers: "No."

Defendant-Appellee answers: "Yes."

The Court of Appeals answered: "Yes."

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STATEMENT OF JURISDICTION

This Court has jurisdiction over this matter pursuant to MCR 7.303(B)(1), which allows for discretionary review by this Court on timely application for leave to appeal after decision by the Court of Appeals.

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INTRODUCTION AND SUMMARY OF ARGUMENT

Plaintiff-appellant Jacqueline Davis (Ms. Davis) says she is entitled to claim amounts improperly credited to her account while engaged in online gaming on defendant-appellee BetMGM, LLC (BetMGM)'s platform, following a technical malfunction that resulted in the ostensible earnings. She pursued relief in the Circuit Court, but rather than claiming a violation of Michigan's Lawful Internet Gaming Act (LIGA) instead asserted claims that do not exist under the common law. She lost. Ms. Davis also brought claims against BetMGM before the Michigan Gaming Control Board (MGCB), alleging BetMGM violated LIGA. She did not prevail there, either. If she had prevailed, the MGCB unquestionably had the power to order BetMGM to credit her with her earnings. Then she filed a claim of appeal with the Court of Appeals, and lost that appeal, too. This claim brought before this Court is no more persuasive than Ms. Davis's previous efforts.

Ms. Davis is not entitled to relief because LIGA obligated her to seek redress exclusively before the MGCB, and she lost that claim. The Court of Appeals' affirmance of the Circuit Court's dismissal of her claims should be affirmed by this Court in every particular.

ISSUES ON APPEAL

This Court has granted leave to consider whether a plaintiff may assert common law claims in Circuit Court against an online gaming operator to recover funds she alleges were contained in her online gaming account, or whether the plaintiff's exclusive remedy lies in pursuing her administrative remedies before the MGCB pursuant to LIGA.

Ms. Davis entered into a contract with BetMGM that governed her online gaming play on BetMGM's platform. That contract contained a provision providing that any malfunction of the gaming equipment would void all funds accumulated due to that malfunction. Such a malfunction

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did occur, and Ms. Davis's online account balance erroneously reflected an amount that she had not actually won. Ms. Davis brought suit in Wayne County Circuit Court under theories of breach of contract, fraud and conversion to recover those amounts. The Circuit Court dismissed Ms. Davis's claims, holding that, pursuant to LIGA, the MGCB had exclusive jurisdiction over the dispute. Indeed, Ms. Davis had also pursued her complaint with the MGCB under LIGA, but the MGCB investigated and determined that she was not entitled to the relief she claimed. The Court of Appeals affirmed, and Ms. Davis has now appealed to this Court.

In its order granting leave to appeal, this Court has asked the parties to address the following questions: (1) whether Ms. Davis has any common law claims, such that the Wayne Circuit Court had subject matter jurisdiction over her action; and (2) whether and to what extent the MGCB has jurisdiction over Ms. Davis's dispute related to her account, and, if so, what law governs the resolution of that dispute.

The short answers are:

1. Ms. Davis's only claims against BetMGM arise under LIGA, and the MGCB is the exclusive arbiter of those claims.

2. The MGCB is statutorily granted exclusive jurisdiction over patron disputes concerning the operation of internet gaming platforms and is therefore entitled to use its considerable experience (and the rules it promulgated using that expertise) in evaluating any claimed patron entitlements that a gaming operator asserts were the result of some kind of malfunction.

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COUNTER-STATEMENT OF FACTS

A. The Genesis of the Dispute.

On February 1, 2021, Ms. Davis registered for a BetMGM Account (the Account) to enable her to participate in internet gaming through BetMGM's platform. As part of her enrollment, Ms. Davis entered into a contract with BetMGM by agreeing to its Terms and Conditions (T&C). See Amended Verified Complaint, ¶¶ 46-47 (App 99a);[1] T&C (App 11a). It is the very statutory scheme of LIGA and the MGCB rules promulgated thereunder that entitled Ms. Davis to enter into this agreement and legally collect any lawful winnings from internet gaming; collection of gambling winnings was and remains authorized only by statute, not common law.

The T&C provided that if Ms. Davis had any "complaints, claims or disputes with regard to any alleged winnings . . . or the manner in which a game . . . is conducted," she "**must**" —**not may**—"submit [her] complaint to [BetMGM]" and that if she was not satisfied with BetMGM's response, she could pursue the dispute with the MGCB. T&C, § 28 "Notices/Complaints" (emphasis added) (App 27a). The T&C also provided that:

- If any amounts were credited to her Account due to any "error or . . . system failure or game error," including "a divergence from the normal functioning of the game logic for whatever reason," those amounts would be "null and void," *id*. at § 17 "Errors" (App 22a), and
- "**These Agreements are at all times subject to the authority of the Michigan Gaming Control Board.**" *Id.* at p 2 (emphasis added) (App 12a).

There is no claim by Ms. Davis that she should not be bound by this contract or that she did not understand this agreement.

[1] "App" refers to Plaintiff-Appellant's Appendix filed with Plaintiff-Appellant's Brief on Appeal.

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Between March 18, 2021, and March 23, 2021, Ms. Davis played an online game called "Luck O' the Roulette." Amended Verified Complaint, ¶ 23 (App 95a). During that time, due to a game malfunction, while Ms. Davis's account balance (i.e., the amount she was being shown as being credited with) would show up correctly at the time winnings occurred, when the account balance was credited to her Account (i.e., the online repository she had created), it was, on various plays, being multiplied exponentially and mistakenly, as a result of the error (the "transfer malfunction"). *Id.* at ¶ 30 (App 96a). Over the course of several days,[2] Ms. Davis took advantage of the transfer malfunction by withdrawing from her incorrectly inflated Account balance to place the maximum bet amount of $5,000 per play, with increasing frequency. *Id.* at ¶¶ 17-22 (App 95a). In total, Ms. Davis played thousands of turns on the Luck O' the Roulette game over a continuous three-day period using money that resulted from the transfer malfunction. *Id.* at ¶ 23 (App 95a). Her Account eventually reflected an inflated balance of more than $3 million as a result of the transfer malfunction.

Ms. Davis was able to withdraw $100,000 resulting from the transfer malfunction before BetMGM suspended the Account due to unusual activity, in accordance with the T&C. *Id.* at ¶¶ 27-28, 30 (App 96a); March 22, 2021 BetMGM Communication (App 79a); April 12, 2021 Jeremy Kolman Letter (App 81a). BetMGM conducted an investigation and determined that the game had malfunctioned, which BetMGM reported to the MGCB. April 12, 2021 BetMGM Letter to D.

[2] Indeed, Ms. Davis claims that she elected to forgo sleep while she continued to play for several days straight as her account balance increased, demonstrating that she suspected that the funds were appearing in her account due to an error. The Court can take judicial notice pursuant to MRE 201 of a June 22, 2021 article that reports Ms. Davis played for five days straight. (Available at https://www.fox2detroit.com/news/detroit-woman-says-mgm-wont-pay-3-million-she-won-in-online-game-due-to-glitch.)

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Steingold (App 81a). BetMGM provided Ms. Davis, through her counsel, with a spreadsheet showing how the game had malfunctioned and advised her that, absent the error, the Account would have run out of funds and she would not have been able to play further without depositing additional funds. *Id.*

B. The Complaint

On June 9, 2021, Ms. Davis filed her complaint in the Wayne County Circuit Court, alleging that she was entitled to the amounts erroneously reflected in her Account as a result of the transfer malfunction. Verified Complaint (App 083a). Her complaint sounded in fraud, conversion and breach of contract, yet was premised on the claimed violation of LIGA and its rules. *Id*. In her complaint, she alleged that:

> 4. As an authorized gaming provider, Defendant is required to submit all internet games on its platform to the [MGCB] or an independent lab for evaluation. All game software must be designed to allow a gaming authentication tool to validate the gaming software to verify that it performs as expected. Mich. Admin. R. 432.632a.
>
> 5. As an authorized gaming provider, [BetMGM] is required to perform a self-authentication process at least once every 24 hours to ensure the games on its platform are performing as expected and that there have been no unauthorized modifications. Mich. Admin. R. 432.637.
>
> a. If there is an error in the authentication process, [BetMGM] is required to notify the Board within 24 hours. Mich. Admin. R. 432.637.

Amended Verified Complaint, ¶¶ 4-5 (App 84a).

Ms. Davis's breach of contract count alleged that BetMGM breached the T&C by failing to allow her to withdraw her Account balance. Her fraud count alleged that "[b]y leaving the game on its platform . . . [BetMGM] was representing to Plaintiff . . . that Luck O' the Roulette was a working game and was checked every day to ensure that it was functioning properly, and that it was on the platform in compliance with Michigan Rules." *Id.* at ¶ 35 (App 97a). The conversion

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count alleged that "Plaintiff is entitled to . . . the amount reflected in her account balance . . . . [BetMGM] welched on the bets, is still in possession of Plaintiff's winnings, and has refused to pay her what she is owed." *Id.* at ¶¶ 42, 44 (App 98a).

C. The Administrative Proceedings Before the MGCB.

On or about July 8, 2021, *after* filing her complaint in the Circuit Court, Ms. Davis filed a patron dispute with the MGCB. July 28, 2021 MGCB Letter to Ms. Davis (App 116a). On February 10, 2022, the MGCB sent a letter to Ms. Davis advising her: "The Michigan Gaming Control Board (MGCB) completed its investigation of your patron complaint regarding the 'Luck O' The Roulette' game on the BetMGM Online Casino." February 10, 2022 MGCB Letter (App 182a). The MGCB acknowledged receipt of the complaint, confirmed that it would investigate her claims, and noted its power to issue a remedy if the MGCB deemed that appropriate:

> [T]he MGCB's powers include supervising internet gaming operations, investigating alleged violations of the Act and Rules, and upon the finding of a violation of the Act or Rules, the Board may direct a licensee to take any corrective action the board considers appropriate. Based on the information that you provided, and after a thorough investigation into the allegations in your complaint, MGCB will determine whether there was a violation by BetMGM of the Act and Rules. And if so, the appropriate remedy for such violation based on the Act and Michigan's Administrative Procedures Act, MCL 24.201 *et seq.* If BetMGM is found responsible for a violation, that information would be made public after it is fully adjudicated. [*Id.* (App 182a).]

The MGCB did not, using Rules it promulgated, afford Ms. Davis any relief.

D. BetMGM's Motion for Summary Disposition.

On July 19, 2021, BetMGM filed its motion for summary disposition pursuant to MCR 2.116(C)(4), asserting, *inter alia*, that "Plaintiff's claims must be dismissed as they are preempted by the Lawful Internet Gaming Act . . . ." BetMGM Motion to Dismiss (App 102a). That argument was simply a textbook application of the well-established principle that:

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> The general rule, in which Michigan is aligned with a strong majority of jurisdictions, is that where a new right is created or a new duty is imposed by statute, the remedy provided for enforcement of that right by the statute for its violation and nonperformance is exclusive. [*Pompey v Gen Motors Corp*, 385 Mich 537, 552; 189 NW2d 243 (1971).]

The Wayne County Circuit Court granted BetMGM's motion on June 29, 2022. Trial Court Opinion (App 186a). Ms. Davis then filed a motion for reconsideration, which was denied. September 14, 2022 Order (App 203a).

E. Proceedings Before the Michigan Court of Appeals.

Ms. Davis brought a timely appeal as of right before the Michigan Court of Appeals. In affirming the trial court's dismissal, the Court of Appeals examined the provisions of LIGA and the rules promulgated thereunder. The Court concluded that LIGA precluded Ms. Davis from asserting common law claims: "We therefore hold that the Legislature intended that LIGA preempt inconsistent common-law claims. The question then becomes whether plaintiff's common-law claims for fraud, conversion, and breach of contract are inconsistent with LIGA. We conclude that they are." *Davis v BetMGM, LLC*, ___ Mich App ___, ___; ___ NW3d ___ (2023) (Docket No. 363116), 2023 WL 6319835, at *5. The Court of Appeals concluded: "If a statute vests the MGCB or other administrative agency with exclusive jurisdiction over a matter, the circuit court lacks subject-matter jurisdiction. The circuit court therefore correctly granted defendant's motion for summary disposition." *Id*. at *6 (citations omitted). The Court of Appeals also observed:

> [I]t is clear that the MGCB had the power under LIGA to investigate disputes such as plaintiff's, to determine whether a violation of LIGA or the rules promulgated under it had occurred, and to require corrective actions from an internet gaming provider. *See* MCL 432.309(1); Mich Admin Code R 432.613. ***The fact that the MGCB did not or will not take action in plaintiff's favor in this particular case does not alter our preemption analysis.*** [*Id*. (emphasis added).]

The Court of Appeals held: "LIGA, like MGCRA, is 'comprehensive legislation' that 'prescribes in detail a course of conduct to pursue and the parties and things affected, and designates specific

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limitations and exceptions.'" *Id.* at *5 (citing *Kraft v Detroit Entertainment, LLC*, 261 Mich App 534, 545; 683 NW2d 200 (2004)).

The Court of Appeals also rejected Ms. Davis's argument that she was left without a forum: "[T]he MGCB . . . could have ordered . . . the reactivation of plaintiff's account to allow her to withdraw the funds in dispute. ***That it may have declined to do so does not, however, leave plaintiff without a forum***." *Id*. at *6 n 3 (emphasis added). She had a forum, but did not pursue "mandamus or other relief, if appropriate". *Id*. The Court of Appeals based its conclusion on the statutory language authorizing the MGCB to require "any" corrective action. *Id.* at *6.

F. The Appeal to this Court.

Ms. Davis filed a timely application for leave to appeal to this Court, which was granted. In its order granting leave, this Court ordered, in relevant part:

> The parties shall address whether: (1) each of the plaintiff's common law claims is inconsistent with and preempted by the Lawful Internet Gaming Act (LIGA), MCL 432.301 *et seq*., such that the Wayne Circuit Court lacked subject matter jurisdiction over this action; and (2) the Michigan Gaming Control Board (MGCB) has jurisdiction, exclusive or otherwise, over common law claims regarding contract or account disputes, and if so, what statutes or administrative rules govern its resolution of the dispute. [May 29, 2024 Order.]

ARGUMENT

A. Ms. Davis Has No Viable Common Law Claims Against BetMGM Related to Her Dispute Over Her Entitlement to Amounts Erroneously Credited to Her Account, and the Assertion of Those Claims Is Inconsistent with LIGA, as LIGA Provides Ms. Davis's Exclusive Remedy.

1. Standard of Review.

"Jurisdictional questions under MCR 2.116(C)(4) are questions of law that are . . . reviewed de novo." *Travelers Ins Co v Detroit Edison Co*, 465 Mich 185, 205; 631 NW2d 733 (2001), as is a trial court's decision on a motion for summary disposition. *Stegall v Resource Technology Corp*, ___ Mich ___, ___; ___NW3d ___ (2024) (Docket No. 165450), 2024 WL

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3503503, at *4 (citing *Maiden v Rozwood*, 461 Mich 109, 118; 597 NW2d 817 (1999)). Similarly, this Court "reviews de novo questions of law, such as the proper interpretation of a statute." *In re Complaint of Rovas Against SBC Michigan*, 482 Mich 90, 97; 754 NW2d 259 (2008) (citing *City of Taylor v Detroit Edison Co*, 475 Mich 109, 115; 715 NW2d 28 (2006)).

A second applicable standard is pertinent here. "If the language of a statute is clear and unambiguous, the plain meaning of the statute reflects the legislative intent and judicial construction is not permitted." *Daher v Prime Healthcare Services-Garden City, LLC*, ___ Mich ___, ___; ___NW3d ___ (2024) (Docket No. 165377), 2024 WL 3587935, at *5 (quoting *Tryc v Mich Veterans' Facility*, 451 Mich 129, 135; 545 NW2d 642 (1996)). Here, the statute and the Legislature have spoken. They have said that:

- The MGCB has plenary power with respect to platform/game operators and issues arising relating to them, and
- It is the MGCB, not anyone else, that has power to determine whether its comprehensive rules have been violated and what the remedy is if there has been a violation.

And the MGCB has the express power and legislative mandate to require "any" "corrective action" in the event a violation is found. See R 432.641(7). That would necessarily and, under the plain meaning of the word "any," include the right to direct BetMGM – if it determined that BetMGM had wrongfully suspended Ms. Davis's account and altered her account balance – to "correct" its action and restore her account and amounts that she claimed were due. Vesting exclusive power in an administrative agency to determine whether, as here, there has been some kind of technical glitch or malfunction in BetMGM's online platform that caused improper amounts to be credited, makes perfect sense when there are sophisticated mechanical issues at play that only the MGCB would have the expertise to consider:

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> [A]dministrative agencies, created by the Legislature, are intended to be repositories of special competence and expertise uniquely equipped to examine the facts and develop public policy within a particular field. [*Travelers Ins Co*, 465 Mich at 198 (citation omitted).]

This consideration is especially important in the gaming area. As the Canadian authority (long familiar with gaming operations) Association of Certified Gaming Compliance Specialists (ACGCS) noted in *Cultivating Compliance: The Synergistic Partnership of Law Enforcement, Casino Operators, and Gaming Commissions* (May 11, 2024): [3]

- Gaming commissions serve as regulatory authorities responsible for overseeing and enforcing compliance with gaming laws, regulations, and standards.
- They establish clear guidelines, standards, and enforcement mechanisms to promote a culture of compliance within the gaming industry. Issuing licenses and certifications to casino operators, vendors, and employees, gaming commissions subject them to rigorous background checks, suitability assessments, and ongoing compliance requirements.
- They set high standards of integrity, honesty, and competence, ensuring that only qualified individuals and entities are permitted to participate in the gaming industry. Additionally, gaming commissions have the authority to investigate allegations of regulatory violations, impose sanctions, and revoke licenses for non-compliance.
- Collaborating closely with law enforcement agencies and casino operators, they conduct audits, inspections, and enforcement actions, holding accountable those who fail to uphold regulatory standards. [Bulleted for emphasis.]

2. Ms. Davis Has No Legally Cognizable Claims at Common Law, as Gaming is Illegal Under Michigan Law Outside of the Statutory Schemes Permitting Such Activities, and Suits at Common Law to Collect Such Gambling Winnings Are Unenforceable in the Courts as a Matter of Public Policy.

We begin with a fundamental proposition that Ms. Davis cannot challenge and does not challenge. Enforcement of wagers is legal in Michigan only to the extent that it is expressly authorized by statute, such as the Michigan Gaming Control and Revenue Act (MGCRA), MCL § 432.201 *et. seq*. enacted in 1996 to legalize in-person casino gambling at brick-and-mortar

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[3] <https://www.acgcs.org/articles/cultivating-compliance-the-synergistic-partnership-of-law-enforcement-casino-operators-and-gaming-commissions> (accessed February 11, 2024).

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casinos in Detroit, or LIGA, enacted in 2019 to legalize internet gaming by certain operators. For example, MCL § 750.314 makes it a misdemeanor to win at gambling: "Any person who by playing at cards, dice, or any other game, or by betting or putting up money on cards, or by any other means or device in the nature of betting on cards, or betting of any kind, wins or obtains any sum of money or any goods, or any article of value whatever, is guilty of a misdemeanor . . . ." Similarly, MCL § 750.301 makes it a misdemeanor to enter into a contract to accept payment from a person in return for the agreement that "any money or valuable thing" will be paid to that person "contingent upon the result of any race, contest, or game or upon the happening of any event not known by the parties . . . ."[4, 5] "At the common law, one who lost money in prohibited gaming or betting could not recover, the rule, in the absence of statute, being that the law will leave the parties in pari delicto where it finds them." *Lassen v Karrer*, 117 Mich 512, 512; 76 NW 73 (1898); see also *Helber v Schantz*, 109 Mich 669, 669-70; 67 NW 913 (1896) (no suit to recover winnings, as

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[4] That statute provides:

> Sec. 301. Any person or his or her agent or employee who, directly or indirectly, takes, receives, or accepts from any person any money or valuable thing with the agreement, understanding or allegation that any money or valuable thing will be paid or delivered to any person where the payment or delivery is alleged to be or will be contingent upon the result of any race, contest, or game or upon the happening of any event not known by the parties to be certain, is guilty of a misdemeanor punishable by imprisonment for not more than 1 year or a fine of not more than $1,000.00. [MCL § 750.301.]

[5] Those statutes do not prohibit, or impose penalties for, lawful gaming conducted in accordance with LIGA or the MGCRA, because those two statutes have provisions stating that "inconsistent" laws do not apply to activities conducted thereunder. *See, e.g.*, MCL § 432.304(3) ("A law that is inconsistent with this act does not apply to internet gaming as provided for by this act."); MCL § 432.203(3) ("Any other law that is inconsistent with this act does not apply to casino gaming as provided for by this act.").

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"what occurred between the parties was a gaming transaction, and that the court will not interfere in behalf of a party to such a transaction.").

This rule continues to the present day—parties may only collect gambling winnings in Michigan to the extent that gambling is permitted by statute (and therefore, only pursuant to that statute). *Int'l Recovery Sys, Inc v Gabler*, 208 Mich App 49, 51-52; 527 NW2d 20 (1994), rev'd on rehearing on other grounds by 210 Mich App 422 (1995) (citing *Gibson v Martin*, 308 Mich 178; 13 NW2d 252 (1944); *Raymond v Leavitt*, 46 Mich 447; 9 NW 525 (1881)).[6]

3. LIGA's Provisions Set Forth the Only Existing Legal Scheme Establishing Duties, Rights and Responsibilities for Lawful Online Gaming, Including Regulation and Enforcement of Account Balances.

a. LIGA expressly provides that internet gaming may not lawfully be conducted under any other rule of law and preempts inconsistent laws.

In 2019, the Legislature enacted LIGA to authorize internet gaming, mandating that, "[i]nternet gaming may be conducted only to the extent that it is conducted in accordance with this act." MCL § 432.304(1). It further mandated that "[a] law that is inconsistent with this act does not apply to internet gaming as provided for by this act." MCL § 432.304(3). This latter provision is virtually identical to one contained in the MGCRA. The MGCRA provides: "Any other law that is inconsistent with this act does not apply to casino gaming as provided for by this act." MCL § 432.203(3). The statutory scheme is crystal clear. Both the trial court and the Court of Appeals

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[6] That rule was most recently reiterated less than a year ago by the Court of Appeals, in an unpublished opinion. See *Vayko v Tanoury*, unpublished per curiam opinion of the Court of Appeals, issued February 15, 2024 (Docket No. 366503), 2024 WL 656916, at *4 (citing *Parise v Detroit Entertainment, LLC*, 295 Mich App 25, 28; 811 NW2d 98 (2011)) ("One example of an exception created by the Legislature is the Gaming Act, which governs legalized non-Indian casino gambling in Detroit. . . . [I]f an exception does not apply, gambling debts are unenforceable in our courts.").

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applied *Kraft's* interpretation of the MGCRA's exclusive jurisdiction provision to the exclusive jurisdiction provision in LIGA.[7]

b. Under LIGA's express provisions, all aspects of online gaming under LIGA are controlled by the MGCB, including the resolution of disputes.

LIGA was enacted to, *inter alia*, "protect residents of this state who wager on games of chance or skill through the internet" by "regulat[ing] this activity by establishing a secure, responsible, fair, and legal system of internet gaming." MCL § 432.302(d). LIGA assures these protections through the authority that it grants the MGCB, which LIGA specifies is to decide

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[7] The Court of Appeals also rejected Ms. Davis's attempt to distinguish the exclusive jurisdiction clause in LIGA from the preemption clause in the MGCRA on the grounds that MGCRA provides that it precludes "any other law" that is inconsistent with the Act, whereas LIGA provides that it precludes "a law" that is inconsistent. The Court of Appeals held:

> Although plaintiff argues that the Legislature's use of the word "other" in MGCRA (and not in LIGA) indicates that it intended MGCRA to sweep more broadly, we see no functional difference between the two phrases—the phrase "any other" and the indefinite article "a" both imply a broad generality. Not every variation in the language used by the Legislature requires a different interpretation. [*Davis*, 2023 WL 6319835, at *2 (citing *Robinson v Lansing*, 486 Mich 1, 14; 782 NW2d 171 (2010); *People v Hesch*, 278 Mich App 188, 195; 749 NW2d 267 (2008); *Bauserman v Unemployment Ins Agency*, 503 Mich 169, 184 n 10; 931 NW2d 539 (2019)).]

The Court of Appeals was correct in rejecting that argument. Assuming *arguendo* that "any" law sweepingly describes all possible laws, while "a" law can at times describe something else, it is hard to fathom how "a" can be so interpreted in the context of LIGA without rendering it ambiguous. If not all laws, then which law(s)? "When faced with two alternative reasonable interpretations of a word in a statute, we should give effect to the interpretation that more faithfully advances the legislative purpose behind the statute." *People v Adair*, 452 Mich 473, 479-80; 550 NW2d 505 (1996) (citation omitted); *Slis v State*, 332 Mich App 312, 336; 956 NW2d 569 (2020). Ms. Davis's urged interpretation of the term "a law" gives an unworkable result. "A" and "any" can be used interchangeably, and that is the only logical and plausible interpretation of LIGA. It applies to all possible laws. Indeed, the dictionary defines "a" and "an" synonymously, see, e.g., Dictionary.com, *Any* <https://www.dictionary.com/browse/any> (accessed February 11, 2025) ("any . . . one, a, an, or some . . . .").

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gaming-related issues by charging the MGCB with plenary power under the Act and the rules promulgated thereunder[8] to "administer, regulate, and enforce the system of internet gaming established under [LIGA]," including investigating, conducting hearings on, and instituting "corrective action" concerning complaints by internet gamers against a gaming platform provider. MCL § 432.305(1); MCL § 432.309(1)(c); R 432.641(7). In enacting LIGA, the Legislature mandated: "The [MGCB] has jurisdiction over and shall supervise all internet gaming operations governed by this act. The board may do anything necessary or desirable to effectuate this act . . . ." MCL § 432.309(1).

LIGA unambiguously bestows the MGCB with sweeping powers to fully regulate every aspect of the conduct of internet gaming. Section 305 of the Act provides, in part: "The [MGCB] has the powers and duties specified in this act and all other powers necessary to enable it to fully and effectively execute this act to administer, regulate, and enforce the system of internet gaming established under this act." MCL § 432.305(1) (emphasis added). The Board's rules contain this recitation:

> **R 432.613. Board duties, jurisdiction, and authority. . . .**
>
> (1) To execute and administer the act for the purpose of licensing, regulating, and enforcing lawful internet gaming, the board may do all of the following:
>
> ***
>
> (3) The board has <u>general responsibility</u> for the implementation of the act. The board's duties include, <u>but are not limited to</u>, all of the following:
>
> ***

[8] LIGA requires that the MGCB promulgate administrative rules to carry out the mandates set forth in the Act. MCL § 432.310. The MGCB has adopted the Internet Gaming Rules (Rules) pursuant to LIGA.

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(c) **Supervising internet wagering authorized by the act**.

(d) **Investigating alleged violations of the act or these rules** and taking appropriate disciplinary action against a licensee or any other person, or **instituting appropriate legal action for enforcement**, or both.

(e) **Conducting investigative and contested case hearings, issuing subpoenas, and administering oaths and affirmations to the witnesses** to exercise and discharge the powers and duties of the board under the act.

(f) Revoking or suspending licenses and registrations, and imposing fines as the board considers necessary and in compliance with applicable laws of this state.

(g) **Imposing fines against individuals, internet gaming operators and internet gaming suppliers for engaging in a fraudulent practice, for each violation of the act, these rules, or any resolution or order of the board, or for any other action that the board determines is a detriment or impediment to internet gaming.**

(h) **Taking any other action as may be reasonable or appropriate to enforce the act and these rules.**

R 432.613 (emphases added).

The Act directs the MGCB to promulgate a set of Rules that "may include any necessary and proper [rules] to govern internet gaming, including, but not limited to . . . [t]echnical and financial standards for internet wagering, internet wagering accounts, and internet gaming platforms, systems, and software or other electronic components integral to offering internet gaming." MCL § 432.310(d).

The Rules fully empower the MGCB to control internet gaming and the operators, platform providers and suppliers. For example, the Rules provide:

- The internet gaming platform or internet game must be approved by the Board.[9]

[9] R 432.632a

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- Any changes or modification to the internet gaming platform must be approved by the Board.[10]

- All internet gaming operators, platform providers and suppliers must be approved by the Board.[11]

- The Terms and Conditions issued by the providers must include all terms as enumerated by the Board.[12]

- The physical location of all servers used to provide the internet gaming platform or internet game must be approved by the Board.[13]

- All internet gaming operators, internet gaming platform providers and internet gaming suppliers must comply with Gaming Laboratories International standards and all other technical standards adopted by the Board.[14]

- The Board has the power to investigate any claim that an operator, platform provider or supplier has violated any provision of the Act or the Rules and impose penalties, fines, and/or other discipline.[15]

These rules demonstrate that the MGCB has plenary and exclusive power to entertain and decide Ms. Davis's claim.

i. The MGCB controls the relationship between online gaming participants and internet gaming operators and platform providers.

By statute, the MGCB is intimately involved in the relationship between an online gaming participant such as Ms. Davis, and an internet gaming platform provider such as BetMGM. The

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[10] R 432.637a

[11] R 432.625b

[12] R 432.652

[13] R 432.634

[14] R 432.633; R 432.633a

[15] R 432.613

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Rules dictate how a platform provider and operator must operate and manage a participant's gaming account, and also require that certain terms and conditions be included in any contract between the two.

For example, Rule 655d governs when an authorized participant must be allowed to withdraw the funds in an internet wagering account: "An authorized participant must be allowed to withdraw the funds maintained in his or her internet wagering account, whether the account is open or closed, except as otherwise provided in these rules . . . ." R 432.655d. The rules then prescribe situations in which an authorized participant may not withdraw funds, such as when a malfunction occurs, as happened here.

Rule 652 provides that: "All terms and conditions for internet wagering accounts must . . . address all aspects of the internet wagering, including . . . . Consent to the jurisdiction of this state to resolve any disputes arising out of internet wagering. . . . ***Notice that a malfunction voids all pays***. . . . [And] [e]stimated time period for withdrawal of funds from an internet wagering account." R 432.652(1); R 432.652(1)(c)(v); R 432.652(1)(l); R 432.652(1)(m) (emphasis added).

ii. The MGCB is authorized and required to adjudicate authorized participant disputes and it has adopted a series of rules which guide its decision making.

The Rules specifically provide for procedures for handling disputes arising out of game play—including the dispute at issue in this matter—and empower the Board to regulate and conduct the patron dispute process. These are the rules that govern the disposition of patron complaints. That process requires the internet gaming operator or platform provider to advise participants of "**their right to make a complaint against the internet gaming operator [or] the internet gaming platform provider . . . and how [to] submit a complaint to the [MGCB]**." R 432.641(1) (emphasis added). Upon receipt of a patron complaint, the MGCB has the power to

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conduct any necessary investigation and direct the gaming operator or platform provider to take "any" – not just some – corrective action. *Id.* (emphasis added). That Rule provides in full:

> **R 432.641 Authorized participant complaints…**
>
> (1) An internet gaming operator or internet gaming platform provider must include on its internet gaming platform a clear mechanism to **advise authorized participants of their right to make a complaint against the internet gaming operator**, the internet gaming platform provider, or another authorized participant (when collusion is suspected or when an authorized participant is disruptive or abusive), including information explaining how complaints can be filed, how complaints are resolved, and how the authorized participant may submit a complaint to the board.
>
> (2) An internet gaming operator or internet gaming platform provider must attempt to resolve all complaints with the authorized participant.
>
> (3) An internet gaming operator or internet gaming platform provider must investigate each complaint and provide a response to the authorized participant within 10 calendar days after receipt of the complaint.
>
> (4) In its response, the internet gaming operator or internet gaming platform provider must advise the authorized participant of his or her right to submit the complaint to the board in the form and manner prescribed by the board.
>
> (5) The complaint and the internet gaming operator's or internet gaming platform provider's response must be made in writing.
>
> (6) Unless otherwise directed by the board, for complaints related to internet wagering accounts, game outcomes, or illegal activity related to internet gaming that cannot be resolved to the satisfaction of the authorized participant, the internet gaming operator or internet gaming platform provider must promptly notify the board of the complaint and the internet gaming operator's or internet gaming platform provider's response.
>
> (7) On receipt of a complaint from an authorized participant or notification of an unresolved complaint from an internet gaming operator or internet gaming platform provider, the board may conduct any investigation the board considers necessary and **may direct an internet gaming operator or internet gaming platform provider to take any corrective action the board considers appropriate**.

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(8) An internet gaming operator or internet gaming platform provider must maintain records related to authorized participant complaints for a minimum of 5 years and must provide the records to the board on request.

R 432.641 (emphases added).

Thus, LIGA and the Rules specifically mandate that the MGCB fully investigate any patron complaint and, as a result of the investigation, to "direct an internet gaming operator or internet gaming platform provider to take **any corrective action the board considers appropriate**." R 432.641(7) (emphasis added). The MGCB could have concluded that this was no transfer malfunction and that Ms. Davis had in fact won. Had it done so, it presumably would have required that BetMGM correct its action by restoring Ms. Davis's account balance.

The laws and rules that the MGCB must apply in adjudicating any such disputes are the laws and rules that the MGCB has promulgated and that were followed when the MGCB accepted, reviewed, and investigated Ms. Davis's patron dispute. There is no claim by Ms. Davis here that the MGCB did not do so—she simply does not like the result.

4. LIGA Provides Ms. Davis's Exclusive Remedy.

a. LIGA creates new rights having no counterpart in the common law, and the remedies provided thereunder are therefore exclusive.

This Court has held on multiple occasions that "where a new right is created or a new duty is imposed by statute, the remedy provided for enforcement of that right by the statute for its violation and nonperformance is exclusive. Correlatively, a statutory remedy for enforcement of a common-law right is deemed only cumulative." *Lamphere Sch v Lamphere Federation of Teachers*, 400 Mich 104, 126-27; 252 NW2d 818 (1977) (internal citations omitted).

Lamphere controls the result here. In *Lamphere*, a school district brought a claim in tort against a teachers' union for damages arising out of a peaceful strike which was in violation of the Public Employment Relations Act (PERA). In holding that PERA provided the exclusive remedy

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to the district and that the school district was barred from suing "for damages under any of the traditional common law tort theories asserted," 400 Mich at 107, this Court found it significant that no common law cause of action existed before PERA to provide the school district with a cause of action: "[U]pon careful examination of existing Michigan case law, we find no applicable precedent for the cause of action pled by plaintiff School District. Michigan common law provides no foundation for the remedy sought under these circumstances." *Id.* 107-08.

In light of the absence of applicable pre-existing common law, this Court held the remedy in *Lamphere* was exclusive despite the wording of that remedy: "Section 6 begins with the words '(n)otwithstanding the provisions of any other law.'" *Id*. at 113. This Court observed that "[t]he phrase '(n)otwithstanding the provisions of any other law' could be broadly construed to include both statutory and case law," *id.* at 114 n 3, but rejected that interpretation because there was no existing applicable common law at the time PERA was enacted: "Such construction need not be entertained here. There was no precedent for the proposed action under the common law at the time the PERA was enacted . . . . Nor may such cause be implied from the PERA." *Id.*

To counteract this controlling consideration, Ms. Davis—who does not cite *Lamphere*—offers two arguments.

First, Ms. Davis says, the Act precludes only law that is inconsistent with the statute being promulgated, not all laws. But there is no law that allows Ms. Davis to seek to recover claimed gaming account balances in the absence of LIGA. There is no common law right to recover gaming winnings, and LIGA did not purport to create any such right. Ms. Davis cites no pre-existing law allowing her to collect the funds at issue, and indeed, the law would preclude such claims.

Second, Ms. Davis says past MGCB boards have expressed reluctance to afford remedies even when they concur that something wrongful has taken place. But the issue before the Court

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is what the statute provides, not to evaluate the MGCB's decisions regarding an appropriate remedy when a violation has been found, which did not occur in this case as to Ms. Davis's underlying claims. As this Court observed in *In re Complaint of Rovas*, while an agency's interpretation of what it is required or permitted to do under a statutory scheme is an "aid for discerning the Legislature's intent," its interpretation is "not binding on the courts" and "cannot conflict with the Legislature's intent as expressed in the language of the statute . . . ." 482 Mich at 103.[16]

This case parallels *Lamphere* in that Ms. Davis's complaint before the Circuit Court articulated causes of action that were not viable under common law. The remedy prescribed by LIGA is exclusive—not because Ms. Davis's common law remedies have been abrogated (although if they had existed, abrogation was clearly the Legislative intent, *see infra*), but because those common law remedies never existed in the first place. See, e.g., *Millross v Plum Hollow Golf Club*, 429 Mich 178, 187-88; 413 NW2d 17 (1987), where this Court articulated a two-part test to determine which claims were "proscribed by the exclusive remedy provision" of the Dram Shop Act:

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[16] Ms. Davis professes to attach significance to the MGCB's July 28, 2021 correspondence from David Hicks to Ms. Davis that "[t]he Board has no authority to award any money or other relief directly to an authorized participant." (App 116a). That misapprehends the thrust of MGCB's correspondence. All the quoted section means is that the Board does not cut checks directly to persons affected by a violation committed by a gaming operator; what it can do is require the gaming operator to take corrective action and restore an account balance. That same correspondence correctly states that the rules "authorize[] the Board to conduct any investigation it deems necessary as well as direct a gaming operator or internet gaming platform to take corrective action that the Board considers appropriate." *Id.* The Board's January 24, 2022 correspondence from Mark Sands reiterates this point (App 181a), as does the Board's February 10, 2022 correspondence from David Murley (App 182a).

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(1) Does the claim against "the tavern owner" arise out of an unlawful sale, giving away, or furnishing of intoxicants? If so, the dramshop act is the exclusive remedy.

(2) If the claim arises out of conduct other than selling, giving away, or furnishing of intoxicants, ***does the common law recognize a cause of action for the negligent conduct?*** If so, then the dramshop act neither abrogates nor controls the common-law action. ***If not, there is no independent common-law claim.***

Id. at 187.[17]

b. The scope and wording in LIGA demonstrate that the Legislature intended that LIGA provide the exclusive remedy for online gaming disputes.

As discussed *supra*, the creation of a new right by statute, where no common law right existed before, leads to the presumption that any statutory remedy prescribed will be deemed exclusive. However, even where there are existing common law rights in an area subsequently covered by a statute, the Legislature's intent to abrogate those rights when it enacts a statute may be inferred: "[W]here comprehensive legislation prescribes in detail a course of conduct to pursue and the parties and things affected, and designates specific limitations and exceptions, the Legislature will be found to have intended that the statute supersede and replace the common law dealing with the subject matter." *Hoerstman Gen Contracting, Inc v Hahn*, 474 Mich 66, 74; 711 NW2d 340 (2006) (quoting *Millross*, 429 Mich at 183).

As an example, in *Hoerstman*, this Court held that Article 3 of the Uniform Commercial Code displaced the common law as it applies to accord and satisfaction. "[T]he language of the

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[17] See also *Covell v Spengler*, 141 Mich App 76, 82-83; 366 NW2d 76 (1985) (plaintiff's remedies under the Whistleblowers' Protection Act were exclusive, as that statute created a new right and no cause of action existed at common law: "Plaintiff has cited no authority for the proposition that there exists a common-law right to be free from discharge from employment for reporting an employer's violation of the law.").

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statute shows that the Legislature covered the entire area of accord and satisfactions involving negotiable instruments. It clearly intended that the statute would abrogate the common law on this subject." 474 Mich at 75. In the instant case, if there were any applicable common law, it would be abrogated by LIGA, as the language employed by the Legislature in enacting LIGA shows a clear intent to cover "the entire area" of the conduct of internet gaming. In addition to the vast, comprehensive nature of LIGA and the Rules' provisions, the statute expressly states that: "Internet gaming may be conducted only to the extent that it is conducted in accordance with this act." MCL § 432.304(1).

Another consideration that comes into play in determining the exclusivity of a remedy in a statute is the stated purpose of the statute. In *Lamphere*, this Court noted that it was "convinced that the Legislature intended the PERA to occupy the public labor relations field completely . . . ." 400 Mich at 107. This Court considered the stated purposes of PERA, which provided:

> AN ACT to prohibit strikes by certain public employees; to provide review from disciplinary action with respect thereto; to provide for the mediation of grievances and the holding of elections; to declare and protect the rights and privileges of public employees; and to prescribe means of enforcement and penalties for the violation of the provisions of this act. [*Id.* at 110-11.]

This Court concluded that: "[I]t requires little extrapolation to ascertain the Legislature's intent in enacting the PERA. The Legislature intended to proscribe strikes by public employees and to prescribe the means of enforcement and penalties for such strikes." *Id*. at 111.

The instant case is similar to *Lamphere*. Here, the Legislature declared that its purpose in enacting LIGA at Section 2 of the statute was to broadly prescribe the means by which internet gambling would be lawful in Michigan, and the method of regulation and protection:

> The legislature finds and declares all of the following . . . Operating, conducting, and offering for play internet games over the internet involves gaming activity that already occurs throughout this state illegally. . . . In order to protect residents of this state who wager on games of chance or skill through the internet and to capture

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> revenues generated from internet gaming, it is in the best interest of this state and its citizens to regulate this activity by establishing a secure, responsible, fair, and legal system of internet gaming.

MCL § 432.302.[18]

CONCLUSION AND RELIEF REQUESTED

The Legislature has spoken. The MGCB has both the power and the duty to act if there is wrongful conducting of internet gaming by the gaming provider vis-à-vis someone in Ms. Davis's position who claims to have been wronged. That power and duty is exclusive. The common law remedies that Ms. Davis wants to be able to invoke are inconsistent with the clear command of the statute, which vests that power exclusively with the MGCB.

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[18] Even assuming *arguendo* that the Legislature did not grant the MGCB exclusive jurisdiction to address Ms. Davis's complaints, Ms. Davis's causes of action arise out of Ms. Davis's contract with BetMGM, making her common law claims invalid. Michigan law does not permit the assertion of a claim in tort for a matter governed by a contract. "We have held that a tort action will not lie when based solely on the nonperformance of a contractual duty." *Fultz v Union-Commerce Assoc*, 470 Mich 460, 466; 683 NW2d 587 (2004) (citing *Hart v Ludwig*, 347 Mich 559; 79 NW2d 895 (1956)). The *Hart v Ludwig* doctrine, also known as the independent duty doctrine (which has been the law for almost seventy years), "draws a line between breach of contract claims arising from commercial transactions, where commercial and contract law protect the parties' economic expectations, and tort actions intended to remedy unanticipated injuries as a result of conduct that violates a separate legal duty apart from the contract." *Llewellyn-Jones v Metro Prop Group, LLC*, 22 F Supp 3d 760, 778 (ED Mich, 2014) (citation omitted).

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STATEMENT OF WORD COUNT PURSUANT TO MCR 7.212(B)(3)

In accordance with MCR 7.212(B)(3), the undersigned certifies that the foregoing brief has 6,728 countable words, as determined in accordance with MCR 7.212(B)(2), and according to the word count provided by the word processing software used to create the brief.

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PROOF OF SERVICE

The undersigned certifies that on February 13, 2025, he caused the foregoing document, and this Proof of Service, to be filed with the Clerk of Court by operation of the Court's MiFile electronic filing system, which will serve such filing on counsel of record.

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